

in the rectification of 184 million fraudulent Bitcoins. Since then no new vulnerabilities have been discovered in the protocol.

As the proliferation of the Bitcoin client, protocol and awareness of its system gained wider reach it began to garner a loyal following with various parties using it for payments online. Websites such as Wikileaks started using it as a valid medium for donations as well as secure anonymous payments across the world. Bitcoin garnered lots of negative attention due to its use in the Silk Road - an online black market - as it became the currency of choice for darknet transactions involving various illegal trades and activities including drugs and hitmen.

Various legitimate online communities and business' such as Reddit, Wordpress, Pirate Bay and nearly a thousand others have begun accepting Bitcoins as payment or donations. The faith of the online community in the use of Bitcoins is highly encouraging towards its promise as a future standard for digital currency.

Various nations have dealt with the Bitcoin phenomenon in different ways. The United States has closely monitored the evolution and use of Bitcoins but beyond the individual level. Their concern has primarily been with respect to how it is used in money laundering activities by criminals as well as the monitoring the role of private companies or groups in transacting real money which is in contradiction with financial laws.

Countries like China and Thailand have aggressively discouraged the use of Bitcoins due to the lack of legal frameworks that govern it. Countries such as Germany have even begun considering Bitcoins as a valid form of e-currency due to its exhibited properties as a unit of account but not as a normal currency in real world use. But the bulk of the force behind Bitcoin comes from its users and merchants, with recent revelations in Bitcoin insurance by Lloyds of London and acceptance by mainstream online companies like Overstock and Zynga.

Bitcoin as currency

Bitcoins is the name given to the units of money or currency used on the Bitcoin protocol. Its abbreviation is "BTC" i.e. 1 BTC, like 1 USD for United States Dollar. Unlike analogue currency Bitcoins do not exist in physical form, rather only as numbers associated with a Bitcoin address that identify their value. This number can be replicated in physical tokens such as physical coins, paper print outs or card like objects but are only identifiable as genuine currency on the Bitcoin peer-to-peer distributed network by the